



ECOPRISM



CSRD Decoded

Addressing FAQs for Sustainable Business Practices

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Introduction

The European Union (EU) has been introducing more specific disclosure requirements for businesses in order to maintain the harmony between its climate, sustainability and human rights targets. It significantly raises the bar in sustainability reporting, most notably in the form of the Corporate Sustainability Reporting Directive (CSRD), which comes in to amplify and replace existing non-financial reporting requirements, and the Sustainable Finance Disclosure Regulation (SFDR) and EU Taxonomy requirements. It aims to promote the march towards more environment-sustainable investments, accentuating the growing awareness of environmental, social and governance (ESG) factors.

1. What is CSRD?

CSRD is the Corporate Sustainability Reporting Directive, a significant EU regulation that brings together financial data, ESG information and assurance for the first time. The CSRD is adopted by the European Parliament and the European Council in November 2022 and entered into force January 2023.

Under EU law, certain large companies are already subject to disclosure requirements under the Non-Financial Reporting Directive (NFRD). The CSRD will amend the existing reporting requirements and expand the scope of companies that need to report. CSRD will replace the existing NFRD, which remains in force until companies start complying with CSRD.

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The main goal of CSRD is to increase the economic flow towards more sustainable business models throughout the European Union.

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Along with CSRD being a mandatory requirement, it is beneficial for businesses as well.



Streamlining and transparency are vital for any reporting. CSRD reduces the risk of greenwashing and provides clarity for external stakeholders, whether those are investors or consumers.



Reporting gives enhanced credibility, and the chance to attract external investment and comparability in the market.



Regulations such as CSRD make climate reporting standard practice and part of everyday business, allowing the companies to play active part in taking tangible climate action, and prove their plans are based on science-based parameters, while also tracking their implementation.

2. Who does CSRD apply to?

The CSRD applies to all large companies governed by or stock listed in EU law or established in an EU member state.

The EU Companies subjected to the Directive

- ♻️ Companies with more than 250 employees.
- ♻️ Companies with turnovers of more than €50 million.
- ♻️ Companies with total balance sheet assets of more than €25 million.

3. Will it impact non-EU headquartered companies as well ?

CSRD also applies to global businesses that have operations/ securities in Europe. According to recent data from Refinitiv featured in the Wall Street Journal suggests, the CSRD will apply to around 10.000 non-EU companies, with the majority from the United States (31%), Canada (13%) and the United Kingdom (10%).

The non-EU Headquartered Companies subjected to the Directive

- ♻️ Companies that have listed securities (e.g., bonds or stocks) on a regulated market in the EU.
- ♻️ Companies with an annual EU revenue of > €150 million and an EU branch with net revenue of > €40 million.
- ♻️ Companies with an EU subsidiary that meets the criteria of being a large company (fulfilling at least two of the following three criteria)

- more than 250 EU-based employees
- balance sheet > €25 million
- local revenue of > €50 million

4. When will the CSRD go into effect?

The CSRD officially entered into force in the EU in early January 2023. From this date, member states have 18 months to transpose the new standards into national law. Each member state has its own history with ESG reporting regulations and is likely to implement the new requirements in its own way.

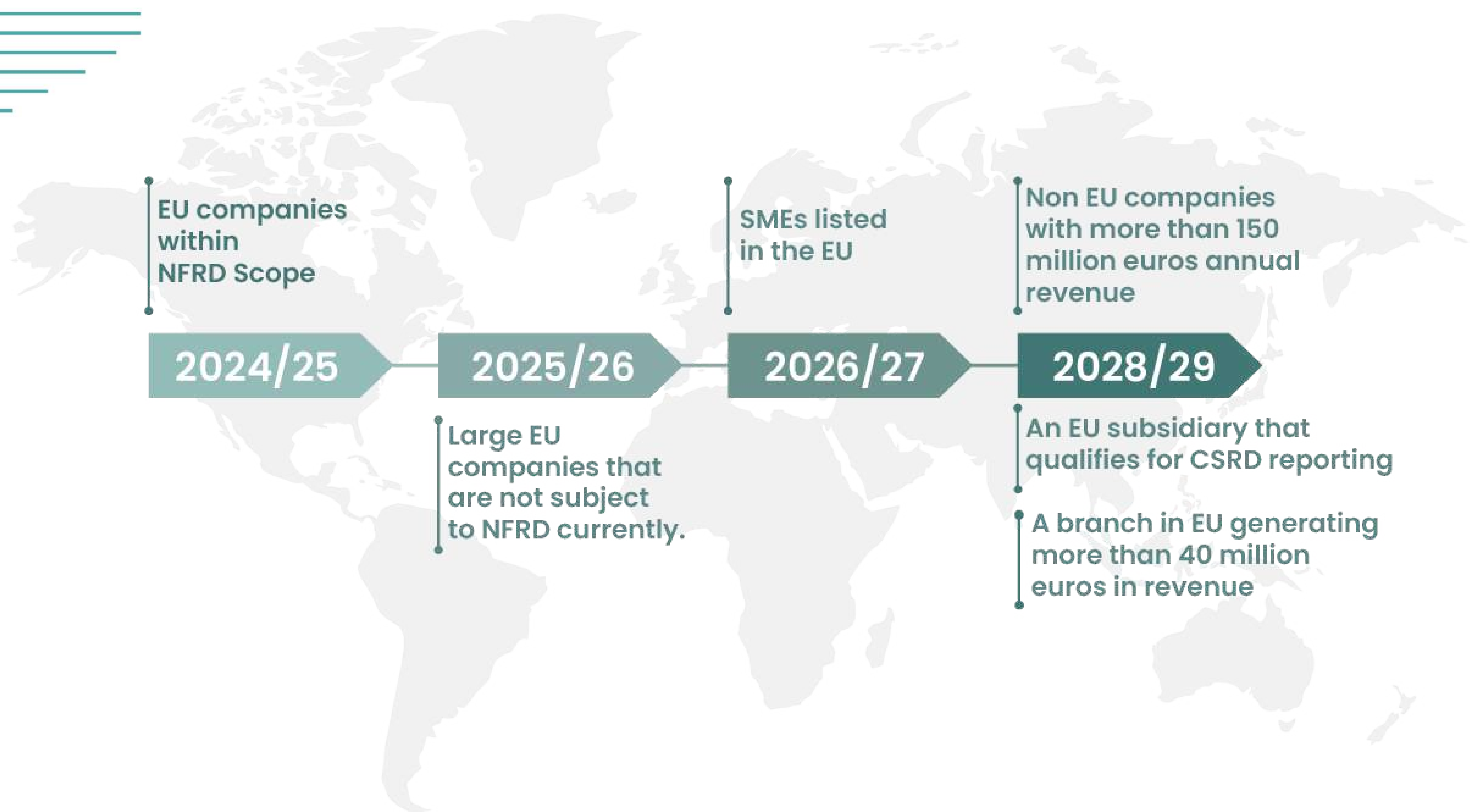
The CSRD will then be phased in from:

- ♻️ **FY'24:** For all organizations that are already within the existing scope of the NFRD.
- ♻️ **FY'25:** All “large” organizations—firms with a net turnover of €50 million or more, at least €25 million in assets and 250+ employees.
- ♻️ **Later:** All listed companies, including listed small and medium-sized enterprises (SMEs) but with the exception of micro enterprises.

Non-EU companies still have time to align with the CSRD:

- ♻️ **2025:** In 2025, those non-EU companies with EU listings and more than 500 employees in the EU will have to disclose their sustainability performance under the CSRD.
- ♻️ **2026:** The rules will apply to other large Non-EU companies with EU listings.
- ♻️ **2027:** Reporting requirements will apply to small and midsize enterprises with EU listings.
- ♻️ **2029:** Non-EU companies not listed in the EU but meeting other criteria will have to report under the CSRD.

Timeline



5. What are the Reporting Requirements?

The Corporate Sustainability Reporting Directive (CSRD) requires companies to report on the impact of corporate activities on the environment and society and requires the audit (assurance) of reported information. This requirement supports the Green Deal which aims to make Europe the first climate-neutral continent by 2050.

🔄 **Double materiality:** Organizations will need to disclose both the company's impact on social and environmental issues, and how these issues are likely to affect the business going forward.

🔄 **Enforced audits:** For the first time, all sustainability information within a report will be obliged to pass through an audit process to verify accuracy before publication.

🔄 **Looking both ahead and back:** Companies will be required to furnish both retrospective and forward-looking analysis. This will mean sharing quantitative information (such as measured impact to date) and qualitative information (such as targets, strategy, and risk assessment).

🔄 **Stricter rules around climate-related disclosures:** Most notably, the CSRD will call for disclosure of Scope 3 emissions. These are the indirect CO2 emissions produced by all other companies connected to the organization throughout the entire supply chain.

6. Is it mandatory to report on EU taxonomy information?

On the policy front, the CSRD is closely linked to the EU Taxonomy, a classification system that establishes a list of environmentally sustainable economic activities. Companies within scope of the CSRD will also have to comply with the EU Taxonomy. Reporting on both regulations will be in the companies' annual sustainability reports. In their standards proposal, the CSRD follows the EU Taxonomy for other environmental impact.

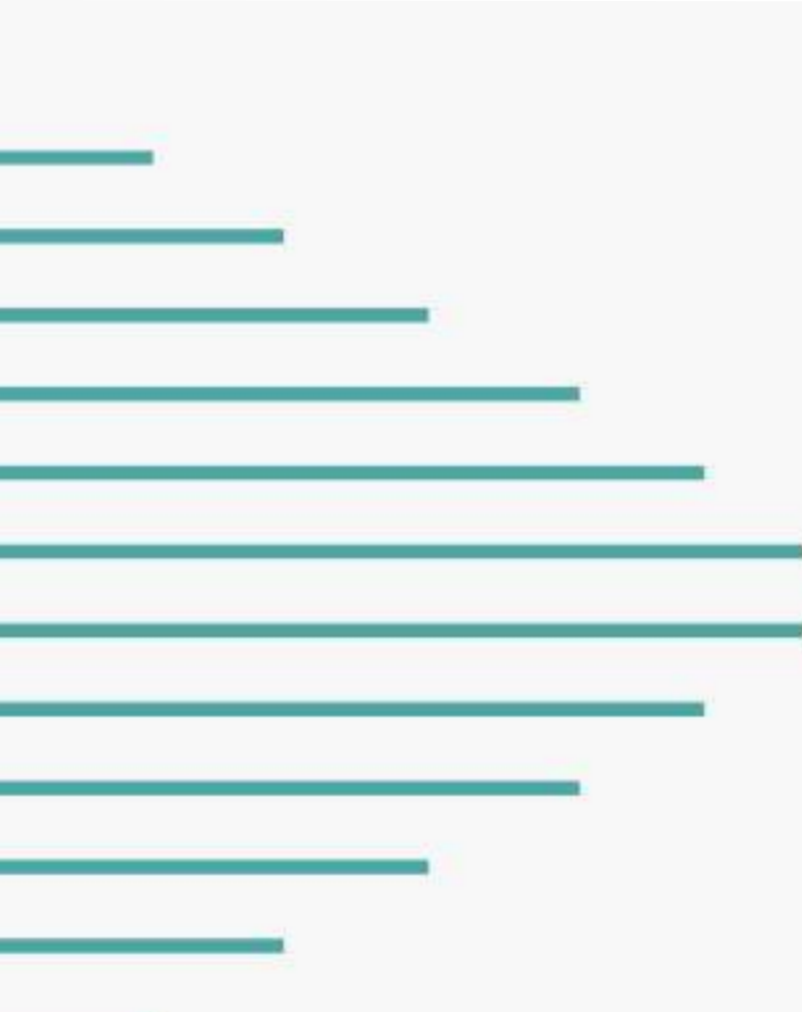
- ♻️ Climate change mitigation
- ♻️ Climate change adaptation
- ♻️ Water and marine resources
- ♻️ Circular economy
- ♻️ Pollutions
- ♻️ Biodiversity & ecosystems

Measuring these impacts requires a full environmental footprint of the company.

7. What does Double Materiality refer to in CSRD?

Double Materiality which identifies all potential negative and positive impacts on people & the environment, connected with a company's own operations and its value chain. All environment-related matters that are affected by (e.g. supply chain) and affect the business. This includes aspects like greenhouse gas emissions, energy efficiency, environmental footprint results, and dependencies.

Primary environmental data from the value chain is emphasized by the CSRD. Social considerations (working conditions, human rights, equal opportunities, etc.) need to be taken into account in the value chain and culture and approach to business ethics. Disclosing all sustainability/ESG issues, that are likely to have significant effect on the company's financial health and operational performance, one can rely on non-monetary quantitative, monetary quantitative, or qualitative data which is quite an important aspect to investors.



8. Where does the information need to be reported?

The CSRD will have to be reported in the management report instead of a separate sustainability report. Therefore, financial and sustainability information will be disclosed at the same time. Companies also need to tag their sustainability information digitally to make it available in the upcoming European Single Access Point (ESAP) database.

9. Is there a specific format?

Yes! The CSRD wants companies to prepare their report in XHTML format (ESEF Regulation). The investors and other stakeholders should be able to access easily all the reported information in the European Single Access Point (ESAP) database. Hence, companies have to 'tag' their reported sustainability information according to a new digital categorization system. This system is under development and will be announced together with the two sets of Reporting standards.

10. Does the information require to be assured?

All this reporting and data collection needs to be robust, transparent, and verifiable. Especially, as limited assurance (external audit) will be mandatory for the CSRD. The terms of the CSRD require sustainability reporting to be checked externally when the CSRD takes effect. Companies will need to seek "limited" assurance of sustainability information. This requirement is less extensive than what is required for the financial audit statement but will nonetheless require external scrutiny. Where a non-EU company is subject to the CSRD, the company should certify its reporting either by a European auditor or an independent auditor from a third country.



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